

THE TOP 10 PMS PROVIDERS

► **Abhishek Bhardwaj and Pradeep Gokhale from Green Lantern Capital LLP achieved the highest five-year returns on investment at 38.89%**

► **Achin Goel from Bonanza Portfolio Ltd has managed funds for the longest period (8 years, 6 months) amongst the fund managers listed**

PMS Provider	Name of Investment Approach	Age of Portfolio	5-year*	Name of Fund Manager(s)
• Green Lantern Capital LLP	Growth Fund	6 Yrs, 2 Mon	38.89%	Abhishek Bhardwaj, Pradeep Gokhale
• Bonanza Portfolio Ltd	Edge	8 Yrs, 6 Mon	36.98%	Achin Goel
• Sameeksha Capital Pvt Ltd	Equity Fund	7 Yrs, 10 Mon	33.90%	Bhavin Shah
• Negen Capital Services Pvt Ltd	Special Situations and Technology Fund	6 Yrs, 6 Mon	33.48%	Neil Madan Bahal
• Estee Advisors Pvt Ltd	Long Alpha	5 Yrs, 5 Mon	33.30%	Estee Advisors Pvt Ltd
• Bonanza Portfolio Ltd	Multicap	5 Yrs, 7 Mon	33.03%	Achin Goel
• Unifi Capital Pvt Ltd	APJ 20	8 Yrs, 5 Mon	32.91%	Baidik Sarkar , Sandeep Joshi
• Globe Capital Market Ltd	Value	16 Yrs, 4 Mon	32.32%	Parashuram Prasad
• Stallion Asset Pvt Ltd	Core Fund	5 Yrs, 4 Mon	31.85%	Amit Jeswani
• Valuequest Investment Advisors Pvt Ltd	Platinum	9 Yrs, 7 Mon	31.33%	Ravindra Dharamshi

* RETURNS; RETURNS ARE AS ON FEBRUARY 29, 2024; RETURNS OVER A 1-YEAR PERIOD ARE ANNUALISED; THEY HAVE BEEN CALCULATED USING THE TIME-WEIGHTED RATE OF RETURN (TWRR) METHOD AND AS PROVIDED BY THE RESPECTIVE AMCS **SOURCE** PMS BAZAAR, SEBI

ment approach, including where, why, and for how long they invest, as well as their investment philosophy. This is particularly crucial for established companies and fund managers with a track record of at least a few years,” Shah adds.

Additionally, a reputable manager should prioritise transparency in conveying information about changes in strategies and fee charges. But a manager may only be as good as their research team, which is why the quality of the research team is very important. Generally, investors decide based on historical performance. Though it is a guide, it cannot be looked at in isolation. The consistency of the benchmark’s outperformance is very important. The risk ratios must be evaluated very deeply as a return in isolation does not have any meaning.

Shah says investors must know how many research analysts are part of the team, the length of time they spend on a portfolio, and whether

the investor’s portfolio is getting enough attention. “The portfolio should be reviewed often with the relationship managers or fund managers to get an overview of whether the conviction level is the same as promised or conveyed when making the investment,” he adds.

Most importantly, investors must not fall into the trap of looking only at a scheme’s performance in a bull market. They must consider how it outperforms at such times and also how it reduces the downside in a bear market. One should also avoid over-diversified or very under-diversified funds.

“Sometimes, people invest collectively in five or six PMS schemes for diversification, but due to a lack of proper evaluation, they end up with a similar portfolio. So, it is important to select the right mix of PMS schemes that consists of a combination of different styles. The ideal number of stock holdings is between 10 and 25. As a matter of

fact, a very large AUM fund should also be avoided,” says Kochar.

Then there is the question of the objectives of the PMS. Is it focussed on long-term growth? Does it employ buy-and-hold strategies? Or, does it look to minimise turnover? As a general rule, it is essential to maintain low churn.

“While a churn ratio of up to 15-20% of the corpus may be permissible based on market conditions and opportunities, the majority of assets, i.e., 80-85%, should be held for longer periods, ideally two to three years,” says Shah.

A lower churn and reasonable management fees can be notable positive contributors to an investor’s post-tax returns of a PMS.

Ultimately, PMS houses serve as platforms for responsible wealth management. But investors must tick all the checkboxes before zeroing in on a scheme. **BT**

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